

EQUITY RESEARCH · COMPANY DEEP DIVE

Alphabet Inc. (GOOGL.US)

Communication Services · Internet Content & Information

Large Cap (>\$200B) · Report Date: July 06, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-07-06

HOLD

Composite · Valuation: UNDERWEIGHT

Target \$332.74 · -8.6% upside

Price \$364.15

INVESTMENT HIGHLIGHTS

- **UNDERWEIGHT** — blended target \$332.74 (-8.6% vs \$364.15); Comps 85% + Analyst 15% valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	UNDERWEIGHT	Blended PT \$332.74	45%
FSA	Strong	Health +0.40 · Strong	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.50 · 12m +103%	15%
Composite	HOLD	Score +0.06 · 75% confluence	—

Valuation rich but trend improving — wait for confirmation; solid financial statement profile.

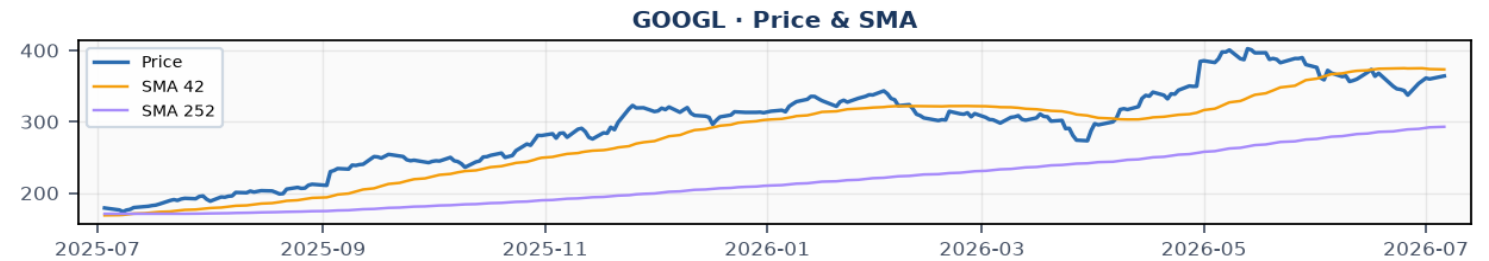
INVESTMENT THESIS / EXECUTIVE SUMMARY

Alphabet Inc. (GOOGL) — Communication Services. Alphabet Inc. offers various products and platforms in the United States, Europe, the Middle East, Africa, the Asia-Pacific, Canada, and Latin America. It... **UNDERWEIGHT** rating; blended target \$332.74. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$4.44T	Shares Out.	5867.2M
52-Week Range	\$172.77 – \$408.61	P/E (TTM)	27.8x
P/B	9.2x	Beta	1.25
Avg Volume	31.74M	Analyst Rec.	Strong Buy
Revenue (TTM)	\$422.50B	Rev Growth	+21.8%
Op. Margin	36.1%	FCF (TTM)	\$73.27B
Gross Margin	60.4%	ROE	38.9%
EV/EBITDA	26.8x	Debt/Equity	20.0%
EPS (TTM)	\$13.10	Div Yield	24.0%

PRICE TREND · SMA 42 / 252



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	350,018	402,836	490,654	569,208	637,268
Revenue Growth (%)	N/A	15.1%	21.8%	16.0%	12.0%
Net Income (\$M)	100,118	132,170	160,983	186,756	209,087
Gross Margin (%)	58.2%	59.7%	60.4%	60.4%	60.4%
Net Margin (%)	28.6%	32.8%	32.8%	32.8%	32.8%
EPS (\$)	17.06	22.53	27.44	31.83	35.64
P/E (x)	21.34	16.17	13.27	11.44	10.22

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$373.36	Short-term trend	12m Momentum	+103.4%	
SMA (252d)	\$292.90	Long-term trend	3m Momentum	+21.5%	
RSI (14d)	52.6	Momentum oscillator	Ann. Volatility	31.5%	
Trend	Bullish		Sharpe Ratio	0.63	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-44.3%	
Death Cross (20d)	No		Rel. Strength vs SPY	+105.5%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$373.36, S...	Quant Score	+0.50	POSITIVE
			SMA Backtest (ann.)	30.8%	B&H; 34.4%

VALUATION CROSS-CHECK · DCF (SIMON FCFE)

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes	Item	Value
					Ke · Terminal g	10.86% · 4.00%
DCF (Simon FCFE)	\$256.00	-29.7%	—	Not in blend	FCFE growth	10.00%
Comps — Blended (median of multiples + uplift anchors)	\$315.18	-13.4%	85%	Included in blend	Equity value	\$1.50T
					Implied price	\$256.00
					vs. current	-29.7%
Analyst consensus (Yahoo Finance)	\$432.29	+18.7%	15%	Included in blend		
Blended target (weighted)	\$332.74	-8.6%	100%	Comps 85% + Analyst 15%		

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
META	Meta Platforms, Inc.	\$1.50T	21.5x	13.6x	32.8%	+33.1%
NFLX	Netflix, Inc.	\$321.60B	24.6x	23.2x	28.5%	+16.2%
DIS	Walt Disney Company (T	\$169.80B	15.6x	11.2x	11.5%	+6.5%
SNAP	Snap Inc.	\$7.91B	N/A	-38.8x	-6.7%	+12.1%
GOOGL*	Alphabet Inc.	\$4.44T	27.8x	26.8x	37.9%	+21.8%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Trends: Strong top-line growth (21.8% YoY); High operating leverage (36.1% margin); Above-market volatility (β=1.25) · Risks: Standard sector cyclicality and macro exposure Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.